19

Transferable credits, back-to-back credits and assignment of proceeds

Learning objectives

This chapter provides an overview of the functions of transferable credits, back-to-back credits and assignment of proceeds.

By the end of this chapter, you should be able to:

- understand the basic function of a transferable credit, back-to-back credit and assignment of proceeds;
- describe the features of these three products;
- identify the difference between a transferable credit and a back-to-back credit; and
- describe the process for an assignment of proceeds.

19.1 Transferable documentary credits

Transferable documentary credits are one of the more common types of documentary credit. There are a number of similarities with (and differences to) back-to-back documentary credits, which are reviewed in section 19.2.

In its simplest form, a documentary credit is issued in favour of the seller (beneficiary), which ships the goods, presents the stipulated documents and claims payment. This scenario is particularly applicable if the beneficiary is the manufacturer or producer of the goods. In some cases, however, an applicant will conduct business with an intermediary trader, agent or middleman (referred to hereafter as trader) who obtains the goods from one or more other sources. In this event, the trader will need to buy the goods or make arrangements for their purchase before supplying them to the applicant.

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Typically, a trader will operate on narrow margins. It does not carry a stock of goods and often has limited working capital. A trader will therefore seek a means of financing the purchases in a manner that does not place a burden on its own resources.

In the context of a standby letter of credit, the underlying debt obligation is often sold, necessitating the transfer of the documentary credit to the new owner of the debt.

Transferable documentary credits were devised as a response to these needs. The basic idea underlying this feature is that the documentary credit issued in favour of the trader can be used as a means of paying the supplier(s) from which the goods are obtained and can act as security for payment for such goods. It also allows for the transfer of the undertaking in the documentary credit to the actual seller of the goods.

19.1.1 The basic features of a transferable documentary credit

To arrange the issuance of a transferable documentary credit, the final buyer (applicant) instructs its bank to issue a documentary credit in favour of the trader from which the goods are to be bought (who will become known as the 'first beneficiary'), stating that it is transferable. This allows the trader to request the nominated bank with which the documentary credit is available for honour or negotiation to transfer it in whole or in part to the trader's supplier(s) (who will become known as the 'second beneficiary'). When a documentary credit is available with any bank, it must indicate the name of the bank that is authorised to transfer it.

If an application for the issuance of a documentary credit calls for it to be issued as 'divisible', 'fractionable', 'assignable' or 'transmissible', the issuing bank should check with the applicant that it simply requires the documentary credit to be issued as transferable. The bank should explain that the other terminology used has no meaning in the context of UCP 600. The definition of transferable credit is contained in **UCP 600, sub-article 38(b)**.

> […]
>
> Transferable credit means a credit that specifically states it is "transferable". A transferable credit may be made available in whole or in part to another beneficiary ("second beneficiary") at the request of the beneficiary ("first beneficiary").
>
> […]

If the trader is buying from several suppliers, the bank may be requested to transfer parts of the documentary credit to each such supplier. The value of the parts of the documentary credit transferred to each supplier represents

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the price that the trader is paying for the goods. The balance represents the trader's profit or margin.

This arrangement provides a trader's supplier(s) with security for payment because part of the documentary credit itself is transferred to the supplier(s). In this way, each supplier obtains the right to claim payment direct from the bank at which its portion of the documentary credit is available (against presentation of complying documents). This means that a supplier obtains a large measure of control over the payment process, because it is able to ensure that the stipulated documents are presented within the time limits established in the transferred documentary credit.

A transferable documentary credit is also a convenient solution for a trader. It allows a trader to provide its supplier(s) with the security of a documentary credit without having to use any part of its own banking facilities.

19.1.2 The risks and costs of transferable documentary credits

A transferable documentary credit can involve extra risks and costs for the original applicant (the buyer for which the goods are destined). In particular, it accepts the risk of receiving goods from a third party, whom it may not know and with whom there may have been no previous business dealings.

Moreover, once a documentary credit is transferred, more parties are involved. This means that the documents have to be examined and, possibly, mailed twice before they reach the issuing bank. This increases the risk of delay, loss and error along the way.

The greater difficulties involved in controlling the operation under a transferable documentary credit may also increase the risk of fraud. A large part of this risk ultimately falls on the original applicant, which undertakes to reimburse the issuing bank provided that a complying presentation has been made.

Additional costs arise because of the difference between the price paid by the trader and the price that the trader charges to the applicant.

19.1.2.1 Managing the transferable documentary credit process

Transferable documentary credits will involve:

- a first beneficiary (trader) and one or more second beneficiaries (supplier(s));

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- more than one set of documents;
- dealings in possibly more than one country;
- more than one reimbursement; and
- a longer chain of banks than are involved in a non-transferable documentary credit.

As a consequence of these features, a number of challenges may arise, and a transferring bank and issuing bank should have in place detailed procedures to manage them.

- It can prove difficult to monitor advices of amendments to the transferable documentary credit and the transferred documentary credit through the chain of the applicant, first beneficiary and one or more second beneficiaries. The monitoring of the necessary consents might also cause concern. However, it should be noted that **UCP 600, sub-article 38(f)**, allows for each transferred credit to be amended individually, and that the acceptance or rejection of an amendment by one second beneficiary does not bind any other second beneficiary to the same course of action.

> **f.** If a credit is transferred to more than one second beneficiary, rejection of an amendment by one or more second beneficiary does not invalidate the acceptance by any other second beneficiary, with respect to which the transferred credit will be amended accordingly. For any second beneficiary that rejected the amendment, the transferred credit will remain unamended.

- The bank of the second beneficiary might dispatch documents directly to the issuing bank, causing problems for the transferring bank and first beneficiary.
- If there are discrepancies in the documents, it may prove difficult to obtain the second beneficiary's and first beneficiary's agreement to an agreed course of action.

The following steps can be taken to address some of these risks or problems.

- The issuing bank can restrict honour or negotiation and transfer to a single nominated bank. While a beneficiary and applicant may be reluctant to agree to such an arrangement, the question that the issuing bank should ask itself is whether it wishes to be exposed to the greater risk inherent in any alternative arrangement and to what extent, if any, the applicant would agree to indemnify the bank for doing so.

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- The transferred credit should clearly indicate the routing instructions for the documents by showing a full mailing address.
- The transferring bank can require the first beneficiary to agree on certain aspects such as the handling of discrepant documents, prior to providing a request to transfer.
- The issuing bank should indicate to the applicant the potential for amendments to be accepted or rejected by different second beneficiaries, should there be more than one transfer.

19.1.3 Transferable documentary credits and UCP 600, article 38

UCP 600, sub-article 38(a), gives the transferring bank total control over the transfer decision, and it attempts to exclude any possibility of the beneficiary acquiring a legally enforceable right to have the documentary credit transferred.

> **a.** A bank is under no obligation to transfer a credit except to the extent and in the manner expressly consented to by that bank.

The justification for this wording is that, when a transferable credit is issued, there is generally no information available relating to the possible transfer(s) that may be requested by the beneficiary. The UCP 600 provisions accordingly protect a nominated bank, or the bank authorised to effect a transfer, against any possibility of being forced to carry out a transfer that it may find unacceptable for commercial or other reasons. This position applies equally to an issuing bank, which may be approached by a first beneficiary to transfer the documentary credit if the nominated bank or a bank authorised to transfer has declined to act.

UCP 600, sub-article 38(b), requires the issuing bank to indicate the name of the transferring bank when the documentary credit is available with any bank. In all other cases, the bank that is nominated to honour or negotiate will be deemed to be the transferring bank.

> […]
>
> Transferring bank means a nominated bank that transfers the credit or, in a credit available with any bank, a bank that is specifically authorized by the issuing bank to transfer and that transfers the credit. An issuing bank may be a transferring bank.
>
> […]

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UCP 600, sub-article 38(d), expressly provides that a transferable documentary credit can be transferred only once.

> **d.** A credit may be transferred in part to more than one second beneficiary provided partial drawings or shipments are allowed.
>
> A transferred credit cannot be transferred at the request of a second beneficiary to any subsequent beneficiary. The first beneficiary is not considered to be a subsequent beneficiary.

Consequently, the documentary credit cannot be transferred at the request of a second beneficiary to any subsequent third beneficiary, and so on, unless specifically authorised in the documentary credit.

ISP98 treats the transfer of a standby letter of credit differently. **ISP98, rule 6.02** ('When Drawing Rights are Transferable'), applies if a standby letter of credit is issued subject to ISP98.

> a. A standby is not transferable unless it so states.
>
> b. A standby that states that it is transferable without further provision means that drawing rights:
>
> i. may be transferred in their entirety more than once;
>
> ii. may not be partially transferred; and
>
> iii. may not be transferred unless the issuer (including the confirmer) or another person specifically nominated in the standby agrees to and effects the transfer requested by the beneficiary.

In some cases, a first beneficiary may wish to exclude the automatic application of an amendment received to the transferable credit in its favour, to the transferred credit in favour of the second beneficiary, pending issuance of its specific instructions. In this instance, **UCP 600, sub-article 38(e)**, provides as follows.

> **e.** Any request for transfer must indicate if and under what conditions amendments may be advised to the second beneficiary. The transferred credit must clearly indicate those conditions.

The first beneficiary is, however, entitled to make this request only if it has given notice to this effect to the transferring bank.

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Such notice is to be given at the time when the first beneficiary requests that a transfer be made and before any transfer has taken place. It is to take the form of an instruction, within the request for transfer, indicating whether the first beneficiary retains the right to refuse to allow the transferring bank to advise any amendments to the second beneficiary or that amendments may be issued to the transferred credit(s) automatically. If the transferring bank consents to the transfer, it must advise the second beneficiary of the first beneficiary's instruction at the time of making the transfer.

The rules and procedures concerning amendments of documentary credits naturally apply equally to transferable credits (**UCP 600, sub-article 38(f)**).

f. If a credit is transferred to more than one second beneficiary, rejection of an amendment by one or more second beneficiary does not invalidate the acceptance by any other second beneficiary, with respect to which the transferred credit will be amended accordingly. For any second beneficiary that rejected the amendment, the transferred credit will remain unamended.

UCP 600, sub-article 38(g), allows the first beneficiary to request a number of specific alterations to the original documentary credit terms when a transferred credit is issued.

g. The transferred credit must accurately reflect the terms and conditions of the credit, including confirmation, if any, with the exception of:

- the amount of the credit,
- any unit price stated therein,
- the expiry date,
- the period for presentation, or
- the latest shipment date or given period for shipment,

any or all of which may be reduced or curtailed.

The percentage for which insurance cover must be effected may be increased to provide the amount of cover stipulated in the credit or these articles.

The name of the first beneficiary may be substituted for that of the applicant in the credit.

If the name of the applicant is specifically required by the credit to appear in any document other than the invoice, such requirement must be reflected in the transferred credit.

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As noted earlier, a nominated bank or a bank authorised to transfer has the authority to decide whether or not it will accept a transfer request, and if it will, on what terms.

The listing of permitted alterations in UCP 600, sub-article 38(g), will usually ensure that all of the relevant parties to the documentary credit are bound by any alterations that are made within the scope of that provision. This includes the issuing bank, which is not directly involved in the transfer process and which therefore does not give its specific consent to the particular alterations requested by the first beneficiary. In circumstances under which a documentary credit has been confirmed, the transferred documentary credit must also bear the confirmation of the confirming bank.

In the specific context of transferable documentary credits, UCP 600, sub-article 38(g), provides that, on transfer, the percentage for which insurance cover must be effected may be increased to provide the amount of cover stipulated in the original documentary credit or in the UCP. The rationale for this is that the first beneficiary will usually be buying the goods from a second beneficiary (or beneficiaries) at a lower price than the sale price that the first beneficiary is charging to the applicant. Thus a higher percentage insurance cover will be required under the transferred credit to cover the amount of insurance required under the original credit.

It is important that the transferring bank obtains the specific instructions of the first beneficiary in respect of insurance (if an insurance document is required) and that these instructions are clearly shown in the request for transfer, together with instructions in relation to the other permitted alterations.

As may be required by the first beneficiary, and as far as practicable, confidentiality in the transferred documentary credit should be preserved. For example, the first beneficiary may not want the name of the applicant to be divulged to the second beneficiary and vice versa.

When a documentary credit is transferred, the name of the first beneficiary can be substituted in the transferred documentary credit for that of the applicant. This provision makes it more difficult for the second beneficiary (or beneficiaries) to find out to whom the first beneficiary is supplying the goods. If the second beneficiary (or beneficiaries) obtains this information, they may be able to avoid the first beneficiary in subsequent transactions by going direct to the ultimate buyer. However, it is often the case that all the parties are aware of their existence in the transaction.

If the name of the applicant is specifically required by the transferable documentary credit to appear in any document other than the invoice, that requirement must be reflected in the transferred credit, for example where

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the transferable credit requires the transport document to indicate the name and address of the applicant as notify party.

When the second beneficiary has shipped the required goods or provided the required services or performance, and presented its documents to the transferring bank, **UCP 600 sub-article 38(h)** allows the first beneficiary to substitute its own invoice and draft, if any, for those of the second beneficiary.

h. The first beneficiary has the right to substitute its own invoice and draft, if any, for those of a second beneficiary for an amount not in excess of that stipulated in the credit, and upon such substitution the first beneficiary can draw under the credit for the difference, if any, between its invoice and the invoice of a second beneficiary.

As the second beneficiary has shipped its goods, or provided its service or performance, it is entitled to receive honour or negotiation with the minimum of delay if its documents are complying. Therefore, **UCP 600, sub-article 38(i)** places an obligation on the first beneficiary to submit its substitute documents on first demand. Failure to do so entitles the transferring bank to present the documents of the second beneficiary to the issuing bank, without further regard or responsibility to the first beneficiary.

The term 'first demand' is not defined in UCP 600. Therefore, the transferring bank should, at the time of transfer, indicate to the first beneficiary the period it will permit for substitution to occur.

i. If the first beneficiary is to present its own invoice and draft, if any, but fails to do so on first demand, or if the invoices presented by the first beneficiary create discrepancies that did not exist in the presentation made by the second beneficiary and the first beneficiary fails to correct them on first demand, the transferring bank has the right to present the documents as received from the second beneficiary to the issuing bank, without further responsibility to the first beneficiary.

When submitting its request for transfer, a first beneficiary may indicate that honour or negotiation is to occur at the place to which the credit has been transferred (**UCP 600, sub-article 38(j)**). Such request is subject to the consent of the transferring bank.

j. The first beneficiary may, in its request for transfer, indicate that honour or negotiation is to be effected to a second beneficiary at the place to which the credit has been transferred, up to and including the expiry date of the credit. This is without prejudice to the right of the first beneficiary in accordance with sub-article 38 (h).

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As previously mentioned, one of the risks that can occur with a transferred credit is that the documents of the second beneficiary by-pass the transferring bank by being sent directly to the issuing bank. **UCP 600, sub-article 38(k)**, provides a rule regarding the disposal of documents.

k. Presentation of documents by or on behalf of a second beneficiary must be made to the transferring bank.

19.1.4 An overview of transferable documentary credit procedures

This section highlights the main steps in a transferable documentary credit by briefly summarising the progress of a simple transaction, where the advising bank is the nominated bank, and it does not honour or negotiate. (Note that the precise details will not be the same in all cases and that the handling of transferable credits does not always go to plan.)

1. The buyer (applicant) and the seller (trader) conclude a sale contract. They agree that the buyer will request its bank to issue a documentary credit, in favour of the trader, which is designated as being 'transferable'. They should also agree on the other details of the documentary credit, including transport documents and other documents to be presented, expiry date and last date for shipment, etc. The trader will have agreed another similar sale contract with the supplier(s).

2. The buyer asks its bank to issue an irrevocable transferable documentary credit.

3. The issuing bank transmits the documentary credit details to the advising bank.

4. The advising bank advises the documentary credit to the trader (first beneficiary) and will attach its standard form of request for transfer to be completed by the trader.

5. The trader requests that the advising bank transfer part of the documentary credit to a supplier in the same country or in another country (second beneficiary) from which the goods are to be obtained, to fulfil its contract with the applicant, by completing the bank's request for transfer form.

6. At the request of the trader, the transferring bank makes the transferred part of the documentary credit available to the second beneficiary by issuing its advice of transfer.

7. The transferred credit is advised to the second beneficiary.

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8. The second beneficiary ships the goods in accordance with the requirements of the transferred credit.

9. The second beneficiary prepares and collates all of the documents stipulated in the transferred credit issued in its favour. The documents will include the second beneficiary's invoice, together with its draft, if any. The other stipulated documents will match those stated in the documentary credit issued in favour of the trader.

10. The second beneficiary sends its documents to the transferring bank or to the nominated bank mentioned in the transferred credit, which will send them to the transferring bank.

11. When the transferring bank receives the documents, the trader (first beneficiary) will be requested to present its own invoice and draft, if any.

12. The second beneficiary's invoice and draft, if any, will show the trader's sources of supply and the amount that the trader has paid for the goods. To avoid the applicant obtaining this information, these two documents are substituted for those of the trader. The invoice and draft (if any) of the trader, together with all of the other documents, are sent to the issuing bank.

13. Upon determination of a complying presentation, the trader and the second beneficiary receive their respective amounts *less* any charges that are due to the banks.

19.2 Back-to-back (counter) documentary credits

In some circumstances, a trader may not be able to use a transferable credit for the purpose of making payment to its supplier(s). The most common reason is that the terms of a sale contract between the ultimate buyer and end supplier may be substantially different, and that authorised changes allowed under transferable documentary credits (in terms of UCP 600, article 38(g)) may not be sufficient to match these differing needs. In these circumstances, a back-to-back documentary credit may provide an acceptable alternative.

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19.2.1 An overview of back-to-back documentary credit procedures

1. A documentary credit (Credit A) is issued in favour of a trader at the request of the ultimate buyer (applicant).

2. The trader uses this documentary credit as a means by which to request a bank (usually the advising bank or confirming bank of Credit A) to issue a separate documentary credit (Credit B) on its behalf in favour of the supplier.

   When Credit B is issued, it is referred to as a 'back-to-back' documentary credit. This is because the advising or confirming bank of Credit A issues Credit B on 'the back of' Credit A. It is also commonly referred to as the 'baby' credit.

   The key elements are as follows.

   - The two documentary credits are entirely separate, and each issuing bank is liable on its own undertaking. There is therefore no need for an article in the UCP 600 that refers specifically to the handling of a back-to-back documentary credit.

   - Documents from Credit B will often be used in part to form the presentation under Credit A.

   - The trader is obligated to pay the bank that issued Credit B on its behalf, irrespective of whether proceeds are obtained under Credit A.

   - Credit A does not provide security to the bank that issued Credit B; Credit A merely evidences the means of payment that may be forthcoming to meet the payment obligation under Credit B. Accordingly, Credit A provides 'comfort' to the bank that issued Credit B, rather than security.

   - However, depending on the assessment of the advising or confirming bank, Credit A may be considered as part or full security for the issuance of Credit B. If it forms part of the security, the advising or confirming bank will look for additional security from the trader, such as a cash deposit or bank guarantee, to provide the additional support that it requires for the issuance of the back-to-back documentary credit.

3. If the transaction is to be completed successfully, and before Credit B is opened, it is important that the issuing bank ensures that:

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- the documents stipulated in Credit B mirror the requirements of Credit A as far as possible; or
- (if they do not) the trader has provided satisfactory evidence that the required documents or amended documents are capable of being submitted outside Credit B; and / or
- the terms and conditions of Credits A and B match as far as possible, subject to satisfactory explanation from the trader.

It is essential that Credit B is handled by staff capable of understanding these basic principles. They must also be able to examine the application for Credit B against the terms and conditions of Credit A. They will also need to ask the necessary questions of the trader to ensure that the documents for presentation under Credit A can be achieved from the presentation of documents made under Credit B and, independently, by the trader.

Example

Consider the circumstances that would arise if the issuing bank of Credit B were unable to make a valid presentation under Credit A.

In this case, the issuing bank of Credit B would be in possession of documents that are discrepant under Credit A. Therefore, if the trader were to be unable to pay from its own resources, the issuing bank of Credit B might have to resort to the sale of the goods and suffer any loss that would result. A sale of the goods would not normally result in the full amount to be paid under the documentary credit being recovered.

It is important to note that transport documents stipulated under documentary credits need not necessarily give title to the underlying goods, in which case a loss could be substantially higher.

19.2.2 Managing risk under back-to-back documentary credits

The issuing bank of the back-to-back documentary credit (Credit B) is exposed to the greatest risk. It should take care to ensure that:

- the stipulated documents, and terms and conditions, mirror the requirements of Credit A as far as possible;
- the trader has given adequate explanations and assurances where there are gaps;

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- consideration is given to Credit A being confirmed by it so that it may control any amendments;
- the trader executes adequate undertakings and other legal documentation, including a legal assignment of proceeds under Credit A;
- the bank holds the original advice of Credit A; and
- both documentary credit files are marked to identify them as back-to-back transactions and the two are cross-referenced.

19.3 Comparing transferable and back-to-back documentary credits

There are some similarities between transferable and back-to-back documentary credits:

- both involve a trader;
- both involve the substitution of documents; and
- both should be issued so that they expire at the counters of the nominated bank for the transferred or back-to-back documentary credit, so that the bank can exercise control not only in the substitution of documents, but also in handling discrepancies.

The key difference is that the transferred documentary credit derives not only its existence from the transferable documentary credit from which it receives its terms and conditions (except for the permitted exceptions mentioned in UCP 600, sub-article 38(g)), but also its use. In a back-to-back documentary credit, on the other hand, there are two separate documentary credits with independent undertakings from the two issuing banks.

It should be noted that UCP 600 provides for the transferring bank to utilise the second beneficiary's documents under the transferable credit should the first beneficiary fail to present substitute documents. This remedy is not available under a back-to-back transaction, because the two are considered separate documentary credits.

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19.4 Assignment of proceeds

National law determines the extent and legal effect of an assignment of proceeds under a documentary credit.

It is possible, in some cases, for the beneficiary (who will be referred to as the 'assignor') to ask the nominated bank or issuing bank to pay part of the proceeds that are due to it to its own supplier (the 'assignee'). This request is worded in the form of an irrevocable instruction. The bank then writes to the assignee, informing it that the bank has received irrevocable instructions to make a payment to the assignee out of the documentary credit proceeds. This communication is referred to as an 'acknowledgement of an assignment of proceeds'. The instruction of the beneficiary is also acknowledged.

The bank should not undertake any payment or guarantee obligation towards such assignee, and this should be made clear in the bank's letter to it. The bank merely acts as an agent for payment of the money received on behalf of the beneficiary.

The bank should exercise care to word its acknowledgement so as to avoid any risk that it might be called upon to pay the assignee if it does not have free use of the proceeds received from performance of the documentary credit. This situation would arise if, for instance, the proceeds were to be seized by a creditor of the beneficiary (assignor).

The assignee does not receive the same sort of payment security that it would have if it were itself the beneficiary of a documentary credit or a transferred credit. Its entitlement to payment depends, first, on the beneficiary (assignor) making a complying presentation under the documentary credit, and secondly, on the nominated or issuing bank having free use of the proceeds.

UCP 600, article 39, covers assignment of proceeds. It does not grant a right to the assignee to perform under the credit – that is, to present documents. It allows a beneficiary to assign its right to receive some, or all, of the proceeds to a third party, which can be a bank. The beneficiary may be required to provide an assignment to give security, for example, for pre-financing or the issue of a back-to-back documentary credit. Such an assignment may take place whether or not the documentary credit is transferable, and the procedures to be followed will be governed by the applicable law.

> The fact that a credit is not stated to be transferable shall not affect the right of the beneficiary to assign any proceeds to which it may be or may become entitled under the credit, in accordance with the provisions of applicable law. This article relates only to the assignment of proceeds and not to the assignment of the right to perform under the credit.

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Questions

1. If a documentary credit that is available with any bank indicates that it is transferable, which of the following is true?

   A. Only the issuing bank may effect a transfer.

   B. Any bank may effect a transfer.

   C. No bank may effect a transfer pending the issuing bank nominating a transferring bank.

   D. Only the advising bank may effect a transfer.

2. The beneficiary has advised an assignment of proceeds to your bank. It has instructed you to pay 80 per cent of the value of each invoice to a named assignee. Which of the following statements is true in this situation?

   A. This allows the assignee to present documents under the documentary credit.

   B. This does not allow the assignee to present documents under the documentary credit.

   C. This allows the assignee or beneficiary to present documents under the documentary credit.

3. A transferable credit has been confirmed. The beneficiary has provided its request for transfer. Which of the following is now true?

   A. The transferred credit must be confirmed.

   B. The transferred credit must not be confirmed without specific instructions from the first beneficiary.

   C. The transferred credit must not be confirmed without specific instructions from the issuing bank.

   D. The transferred credit need not be confirmed.

4. A transferable credit has been confirmed by Bank A. The beneficiary has submitted its request for transfer to Bank A, which has declined to effect a transfer. The beneficiary insists that, as a transferring bank that has

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added its confirmation, the confirming bank must agree to its request. The confirming bank insists that it will not transfer the credit. Is the confirming bank permitted to take this position?

A. Yes

B. No

5. Which of the following is true of a transferred credit? The expiry date, latest shipment date and / or period for presentation that appear in a transferable credit may:

i. be increased.

ii. be reduced.

iii. remain the same.

A. i

B. ii

C. ii and iii

D. i, ii and iii

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